

MATRIX							
	Max LTV / CLTV						Reserve
	Prop. Type	Max Loan Amt.	Min. FICO	Purchase	R & T	Cash-Out	PITIA
Primary Residence / 2nd Home / Investment	SFR PUD Condo	\$1,000,000	680	80	80	70	3
			660	75	75	65	3
		\$1,500,000	680	80	80	70	6
			660	75	75	65	6
		\$2,000,000	680	75	75	65	6
			660	70	70	60	6
		\$2,500,000	680	75	75	50	9
			660	70	70	50	9
		\$3,000,000	680	70	70	50	9
			660	60	60	50	9
	2 - 4*** units	\$1,000,000	680	70	70	60	3
			660	60	60	50	3
		\$1,500,000	680	70	70	60	6
			660	60	60	50	6
		\$2,000,000	680	65	65	60	6
			660	65	65	50	6
		\$2,500,000	680	65	65	50	9
			660	65	65	50	9
		\$3,000,000	680	65	65	n/a	9
			660	55	55	n/a	9
Foreign National		\$1,000,000	n/a	70	70	60	3
		\$1,500,000	n/a	70	70	60	6
		\$2,000,000	n/a	65	65	60	6
		\$2,500,000	n/a	65	65	n/a	9
		\$3,000,000	n/a	65	65	n/a	9

* Declining Market: 5% LTV reduction
 ** Foreign National: 2 - 4 units: Only allowed as Investment at Max LTV 60%
 *** 2-4 units are NOT allowed for 2nd Home

General Requirements					
Max DTI	50%	Min. Loan Amt.	\$100,000	Max. Loan Amount	\$3,000,000
Credit Event		> 48 mon. * 2-4 units are not allowed as 2nd home			
Eligible Income Docs	Salary Income	WVOE			Foreign National
	Self-Employed	- P & L (12 or 24 mon.)			
		- Bank Statements (12 or 24 mon.)			P&L / WVOE
		- 1 year 1099			
Occupancy	- Primary Residence, 2nd Home, Investment Property				
	- Foreign National: 2nd Home, Investment Property				
Loan Product		30 year Fixed only			
Pre-Payment Penalty (PPP)		- Only applies to Investment Property transactions. - Hard fixed percentage PPP starting at 5% - Buydown option available – refer to rate sheet for buy down options (price adjustments) - State-specific restrictions may apply – refer to the PPP Matrix Eligible			

General Requirements	
Eligible Properties	- SFR (Attached/Detached) - PUD (Attached/Detached) - Condominium (High-Low Rise, Attached, Detached) - 2-4 Unit Properties *Properties exceeding 10 acres require management Review/Approval.
Ineligible Property	- Agricultural Properties - Working Farms, Ranches, Orchards - Hobby Farms - Condotels/Co-ops - Timeshares - Mixed-Used Properties - Modular Homes - Manufactured Homes - Mobile Homes - C5/C6 rating - Unique Homes (i.e., Log Homes, Geodesic Domes, Tiny Homes, Barndominiums, etc.) - Properties with active Oil and/or Gas Leases
Eligible Borrowers	- U.S Citizens - Permanent Resident Aliens - Non-Permanent Resident Aliens - Must have a valid SSN and EAD with a minimum of 90 days remaining on the expiration date at the time of funding. EAD with less than 90 days remaining requires evidence of application for extension. - Co-signers (Borrowers on the loan but NOT on title) not allowed. - Non-Resident Aliens (Foreign Nationals) – See Foreign National Borrower eligibility for more details.
Foreign Nationals	- Copy of passport, valid/eligible Visa, and I-94 required - Foreign Nationals allowed to legally travel to and from the United States without Visa are eligible. (e.g., Countries participating in the Visa Wavier Program, Canadian citizens). For more details regarding VWP visit: https://travel.state.gov/content/travel/en/us-visas/tourism-visit/visa-waiver-program.html * Note: A valid Visa or I-94 may not be required when the Borrower is not present in the United States and is purchasing investment property (i.e., closing remotely, closing in a POA). - Borrower must have a US address when applying for a loan (must be entered as the mailing address on Loan Application). - Multiple financed properties with iTrust Mortgage by the same borrower restricted to the Lesser of 3 loans or \$2,500,000 financed amount (including subject property). - Assets: Foreign Assets (down payment, closing costs, reserves, gift funds) must be transferred to and accepted by US institutional bank account prior to requesting closing. - Escrow Waiver is not allowed. - Foreign Nationals on OFAC's Specially Designated Nationals and Blocked Persons List (SDNList) are not eligible.

General Requirements	
Foreign Nationals	- Foreign Nationals from the embargoed countries of Cuba, Iran, North Korea, Sudan, Syria, and from Crimea and covered regions of Ukraine as listed on the Sanctions Programs and Country information by the U.S. Department of the Treasury's Office of Foreign Assets Control (OFAC) are not eligible unless a U.S. Citizen or a Permanent Resident Alien. U.S. State specific nationality restrictions may also apply. For more details, refer to: https://ofac.treasury.gov/specially-designated-nationals-and-blocked-persons-list-sdn-human-readable-lists - Primary Residence not allowed (Second Home and Investment transactions only). - Business Purpose Loans (non-licensing) not allowed. - * Documents not in English must be translated by certified translator and notarized.
Eligible Title Vesting	- Individuals (e.g., sole ownership, joint tenancy, tenancy in common, etc.) - Inter-Vivos Revocable Trusts – Must meet Fannie Mae guidelines - Business Purpose Loans Only: Limited Liability Companies (LLC) or Corporations (Corp): - Borrower(s) must have complete ownership (100% ownership interest) documented by Entity Article of Organization, Operating Agreement documentation, and EIN/Tax Identification Number. - LLC/Corp must be the purchaser of the purchase contract. - Investment properties only. - Note: Business Purpose loans not allowed for Foreign National borrowers
First Time Homebuyers	- First Time Homebuyer is defined as an individual who had no ownership interest (sole or joint) in a residential property during the three (3) year period preceding the date of the purchase of the security property. First Time Homebuyers and First Time Investors are allowed. - First Time Homebuyers and First Time Investors are allowed. - First Time Homebuyers may not use rental income to qualify for investment property purchases.
Age of Credit Documents	- The age of credit documents cannot be more than the specified calendar days below unless stated in other sections of this guideline. - Credit Reports: 120 days from Note date. - Credit Refresh: Required within 10 days prior to the Consummation date. (This requirement may be waived if the original/full credit report is dated within 30 days of consummation.) - Preliminary Title Reports: 120 days from Note date. - Employment/Income: No more than 90 days from Note date. - Asset Documents: No more than 90 days from Note date. - Appraisal: No more than 120 days from Note date based on effective date of the Appraisal Report. If the Appraisal Report is more than 120 days, a recertification of value (FNMA1004D/FHLMC 442) completed by the original licensed appraiser is required, confirming the value of the property has not declined since the original report and must be dated within 120 days of the Note date.
Credit	Credit Report: Tri-Merged Credit Report with minimum of (2) FICO score is required. Methodology of which FICO score to be used is as follows: - Representative score for each borrower is the middle score of 3 scores or lower of 2 scores. - Representative score for the loan is the lowest representative scores of all borrowers on the loan. - Any invalid credit score due to frozen account must be unfrozen and new credit report issued. Note: Credit report not required for Foreign Nationals. Credit Inquiries: Written explanation addressing all inquiries within (90) days is required confirming no undisclosed debt. Minimum Tradelines: 3 Tradelines with 12 months rating or 2 tradelines with 24 months rating (maybe open or closed) - Tradeline requirement may be waived when borrower(s) have 3 FICO scores reporting on the credit report.

General Requirements	
Credit	Authorized User Accounts: Tradelines listing a borrower as an authorized user DO NOT COUNT toward meeting the minimum tradeline requirement. Authorized user accounts may be excluded from Debt-to-Income Ratio. Disputed Accounts: Disputed accounts are evaluated for any current balances and derogatory activity reported within the past 2 years prior to the credit report date. Each disputed account must be supported by: - A credit supplement showing dispute has been removed; and - If a balance remains, documentation of sufficient assets to cover the outstanding balance. - If the tradeline is paid as agreed or has a zero balance, no further action is needed. Collections/Charge-Off Accounts: Non-title charge offs and collections with last activity date within the past three (3) years and exceeding \$5,000 (individually or aggregate) must be paid off. All Medical collections do not have to be paid in full. Judgments/Garnishments/Liens: Delinquent credit (including taxes, judgments, tax liens, mechanics' or material men's liens) that may affect Lender's 1st lien position must be paid at or before closing.
Credit Events	Deed in Lieu/Pre-Foreclosure/Short Sales: 2 years from completion or settlement date to the Note date. Bankruptcy: 3 years from discharged/dismissed date to the Note date. Foreclosure: 5 years from completion date to the Note date. * No multiple events allowed for the past 7 years (84 months) prior to the initial application date. Any credit events that occurred greater than 7 years will not be counted toward multiple events.
Monthly Debt Obligations	Mortgage/Rent - No more than 1x30 late payment within 12 months - Housing payment and history are required on all properties owned by the borrower(s). When the borrower is on title to a non-subject property, but is not obligated on the mortgage note, the expenses associated with that property are not required to be included in the DTI ratio calculation. Additionally, a mortgage payment history for that property is not required. - If mortgage information is not reflected on the credit report, VOM is required. If the property does not have a mortgage, evidence of no mortgage is required. - If borrower(s) is renting their current residence and purchasing an investment property, VOR is required. If the borrower(s) is living rent free and purchasing an investment property, documentation evidencing that another party is responsible for the housing payment on the borrower's current residence. Acceptable documentation includes, but is not limited to, a signed third-party letter or other verifiable evidence confirming the rent-free arrangement. - If a VOM/VOR is required and the property owner/mortgage holder is a Private Lender/Private Landlord, payment history must be documented by either 12 months cancelled checks, 12 months bank statements, or similar acceptable evidence. HELOC Payment - Current monthly payment reflected on the credit report may be used for qualifying ratios. - If the amount is not shown on the credit report, use the payment reflected on updated billing statement or 1% of unpaid principal balance (UPB). Installment Debt - Payments on installment debts with more than 10 months of remaining payment must be included in the DTI. - Installment debts may be paid off or paid down to 10 or fewer monthly payments for qualifying. (Unless the monthly debt obligation significantly affects the borrower's ability to meet their credit obligations).

General Requirements	
Monthly Debt Obligations	Note: Pay downs may be limited to one installment debt per borrower/loan application if the borrower does not have sufficient liquid funds in the bank to cover the remaining balance. All pay downs require liquid funds to support the remaining balances of each debt being paid down to qualify the loan. <u>30 Day Accounts</u> Open 30-day charge accounts require the balance to be paid in full every month. Borrower must demonstrate funds to pay the account balance. The verified funds must be in addition to any funds required for down payment, closing costs, and reserves. If the borrower paid - off the account balance prior to closing, evidence of payoff may be provided in lieu of verifying funds to cover the account balance. <u>Deferred Installment Debts</u> Deferred Installment debts must be included in the DTI ratio calculation as follows: - Installment debts, other than Student loans, when minimum payment is not shown on credit report, then use: - a copy of the payment letter, OR - forbearance agreement that reflects a future monthly payment <u>Student Loans</u> All student loans, whether deferred, in forbearance, or in repayment, monthly payments must be included in the DTI ratio calculation. In order to calculate the repayment amount, one of the following must be used: - If a payment amount is provided on the credit report, that amount can be used for qualifying purposes. - If blank, use 1% of the outstanding balance or a calculated payment that will fully amortize the loan(s) based on the documented loan repayment. <u>Lease Payment</u> Must be included in the DTI ratio calculation regardless of the remaining number of payments. <u>Co-Signed Debts (Contingent Liabilities)</u> When a borrower is obligated on a non-mortgage debt, but is not the party who is actually repaying the debt, the debt may be excluded from DTI ratio calculation if it is: - Supported by evidence showing at least current 12 months paid by other party with no delinquencies, OR - Is related to a separation or divorce supported by legal court documents. <u>Debts Paid by Business for Self-employed Borrowers</u> May be excluded from the monthly obligation when all of the following requirements are met: - Evidence of debt payment from business funds for most recent 12 months - No late payments in the last 12 months. <u>Revolving Accounts</u> Use the monthly payment shown on the credit report. If not available, use the greater of \$10 or 5% of the outstanding balance, or current balance if current balance less than \$10. <u>Payoff of Revolving Accounts</u> In order to qualify without the monthly payment on the current balance, evidence of payoff is required.
Rate & Term	<u>Seasoning</u>: No seasoning required <u>Non-Purchase Money</u>: A rate/term refinance may include the payoff of non-purchase money mortgages seasoned for at least 6 months. <u>Max Cashback</u>: Lesser of \$5,000 or 2% of the new loan amount. <u>Property Listing</u>: Refer to Properties Listed for Sale section of the guideline for more details.

General Requirements	
Rate & Term	<u>LTV Calculation:</u> Based on current Appraised value regardless of the subject acquisition date. <u>Texas:</u> - Principal reductions/Curtailments not allowed. - Impounds may not be added to the new loan calculation if they are not netted from the payoff. - POC fees may not be refunded when financed into the loan amount, and loan must be recalculated due to any payoff reductions, (i.e. Borrower made a payment, now payoff reduced). - Loans that fall into Texas Cash out 50(a)(6) eligibility not allowed.
Cash-Out	Refinance transactions that do not meet the definition of Rate & Term Refinance are considered cash-out. - Six (6) months seasoning required. - At least one borrower on the new loan must have been on title to the subject property (does not have to be on the mortgage) for at least six (6) months prior to the note date of the new loan. - For properties owned 12 months or longer, the LTV/CLTV is based upon the appraised value. - If the cash-out seasoning is less than 12 months, but greater than 6 months, the transaction property value is limited to the lower of the current appraised value or the property's purchase price plus documented improvements analyzed by the appraiser. - Cash-out seasoning of six (6) months or less is allowed only when the borrower acquired the property through an inheritance, or was legally awarded the property through divorce, separation, or dissolution of a domestic partnership. - Properties in an LLC, Corporation, or Partnership may count towards the title seasoning if the borrower has been the majority (≥51%) owner for a minimum of 6 months. - Ownership must be transferred out of the LLC/Corporation/Partnership and into the name of the individual borrower(s) prior to or at closing. - Title vesting may remain in a Limited Liability Company (LLC) or Corporation (Corp) if the borrower(s) have 100% ownership interest, the ownership interest is documented by the organization documents and is an Investment Transaction - Property Listing: Refer to Properties Listed for Sale section of the guideline for more details. - Business Purpose Loans: In order to meet the "Business Purpose Loan" definition, proceeds from cash-out transaction must be used for business purpose only. - Texas: (Subject to compliance with all Texas Equity loan requirements, including but not limited to): - A Section 50(a)(6) loan may not be closed sooner than 12 months after the closing of previous Section 50 (a)(6). - Only one outstanding 50(a)(6) loan on a property at one time. - Each owner of the home and spouse must acknowledge the loan. - 12 days waiting period for closing must be met. - Texas cash out loans are eligible for fixed rate mortgages only.
Cash-Out Refinance (Delayed Financing Exception)	Borrowers who purchased the subject property within the past six months are eligible for cash-out refinance if all of the following requirements are met: - The original purchase transaction was an arms-length transaction. - For this refinance transaction, the borrower(s) must meet the borrower eligibility requirements (i.e., borrowers who are natural persons that have reached the age at which the mortgage note can be enforced in the jurisdiction where the property is located). The borrower(s) may have initially purchased the property as one of the following:

General Requirements	
Cash-Out Refinance (Delayed Financing Exception)	- A natural person - An eligible inter vivos revocable trust, where borrower is both the beneficiary & individual establishing the trust or - As LLC or partnership in which the borrower(s) have an individual or joint ownership of 100% - The original purchase transaction is documented by Final CD, which confirms that no mortgage financing was used to obtain the subject property. (A recorded trustee's deed [or similar alternative] confirming the amount paid by the grantee to trustee may be substituted for a Final CD if a Final CD was not provided to the purchaser at time of sale.) - The sources of funds for the purchase transaction are documented (such as bank statements, personal loan documents, or a HELOC on another property). - The new loan amount can be no more than the actual documented amount of the borrower's initial investment in purchasing the property plus the financing of closing costs, prepaid fees, and points on the new mortgage loan (subject to the maximum LTV/CLTV/HCLTV ratios for the cash out transaction based on the current appraised value). - All other Cash Out refinance guidelines apply and must be met.
Property Listed for Sale (Rate/Term & Cash-Out)	Primary/Second Homes: Properties that were listed for sale must have been taken off the market on or before the disbursement date of the new mortgage loan. Investment Property: Properties that were previously listed for sale must be seasoned for at least six (6) months from the date the listing was canceled to the disbursement date of the new mortgage loan. If the listing has been canceled for less than six (6) months, the loan is permitted only if a prepayment penalty is applied.
Income – Wage Earner	<u>Wage Earner Income Documentation Requirement</u> - Written Verification of Employment completed by the employer (FNMA Form 1005 or equivalent) - For U.S. Citizens or Permanent Residents working abroad, foreign income paid in foreign currency is eligible with a Written Verification (converted to U.S. dollars) AND a letterform a Licensed Tax Preparer confirming the most recent two years of foreign income tax filings. <u>Foreign Nationals:</u> - Written Verification of Employment completed by the employer (FNMA Form 1005 or equivalent) - Any documents not in English must be translated.
Income – Self Employed	<u>Self-Employed Income Documentation Requirement</u> Option 1: P&L - Licensed Tax Preparer (CPA, CTEC, EA) prepared Profit and Loss Statement(s) for most recent 12 months. PTINs are not an acceptable Tax Preparer. The end date must be less than sixty (60) days from closing. - A valid Business or Professional license, or an equivalent document (e.g., state issued cert. of authority, trade-specific permits, etc.) must be provided for the past 2 years for any business that requires licensing. If the business or professional activity does not require a license, supporting documentation must be supplied (e.g., a letter from a licensed tax preparer), - A Letter from a Licensed Tax Preparer must: - Be on business letterhead showing the Licensed Tax Preparer's company name, address, phone number, name, License number, date, and signature. - Confirm Licensed Tax Preparer has either prepared or reviewed the most recent 2years of business tax return filings, and has prepared the P&L. - Confirm business name, borrower(s) names, percentage of business ownership by the borrower. - Confirm business or professional occupation does not require a license (if a copy of license is not provided).

General Requirements	
Income – Self Employed	Option 2: 1099 - Most recent 1-year 1099: Self-employed borrowers who are business owners paying their earnings via a 1099 are not eligible. - Total gross income from 1099 (minus 10% expense factor) is used to calculate qualifying income. - A Licensed Tax Preparer letter to evidence that borrower has been receiving 1099 income for at least 2 years. The 2 years history may consist of 1099 incomes from multiple contract employers in the same line of work with a minimum of 12 months at the job. - Most recent 1099 statement(s) is required, along with a Written Verification of Employment, YTD bank statements and/or Payment Statements from current contract employer(s) covering the Year-to-Date earnings to determine the stability and continuance of the borrower's income (to be dated within 30 days of the Note date). If the Year-to-Date earnings is validated to be lower than the qualifying income, the lower income will be considered as part of income analysis. - P&L/Tax Returns are NOT required. - 1099 Tax Transcript(s) ARE required. - Not eligible for Foreign Nationals Option 3: Business Bank Statements – OR – Personal Bank Statements - Borrower(s) must document that they have been continuously self-employed for at least 2years, AND incomes used to qualify must be generated from self-employment/business. - Wage/Salary income from a co-borrower may be used if not associated with the Borrower's business and is not employed by family members. - A valid Business or Professional license, or an equivalent document (e.g., state issued cert. of authority, trade-specific permits, etc.) must be provided for the past 2 years for any business that requires licensing. If the business or professional activity does not require a license, supporting documentation must be supplied (e.g., a letter from a licensed tax preparer), - A Letter from a Licensed Tax Preparer must: - Be on business letterhead showing the Licensed Tax Preparer's company name, address, phone number, name, License number, date, and signature. - Confirm Licensed Tax Preparer has either prepared or reviewed the most recent 2years of business tax return filings. - Confirm business name, borrower(s) names, percentage of business ownership by the borrower. - Not eligible for Foreign Nationals - Nationals Business Bank Statements - Most recent 12 or 24 consecutive bank statements required. - Borrower must have minimum of 25% ownership of the business. - Personal Bank Statements - Most recent 12 or 24 consecutive bank statements required. - When the borrower is operating a business out of a personal bank statement, the Borrower must be 100% owner of the business, with the business being either a Sole Proprietor, a Single Member LLC, or 1099-based filing Schedule C. - Business entity may not be a Corporation or a Partnership. - Joint Bank Accounts: - Must deduct deposit(s) not associated with the borrower's business(i.e. co-account holder's payroll, etc.)

General Requirements	
Income – Self Employed	- May only consider the percentage of account ownership (i.e., If borrower holds a joint account with another account holder, only 50% of the deposits will be considered in the income/bank statement analysis). Deposits/Expenses/Additional Requirements: - Ineligible deposits, such as non-business related account transfers, one-time deposits, cash advances from credit cards, income sources already taken into account, product returns/credits, gift funds and credit line deposits/business financing related must be deducted from the calculation. - Large deposits (defined as any single deposits exceeding 150% of average monthly total deposits) should be omitted or sourced/explained with LOE from the borrower. - Additional income deposited into the bank statements but derived from a source other than the self-employed business may not be included in the bank statement average. - Transfers between accounts should be excluded. - A 50% Expense Deduction is required to account for business expenses and overhead. A lower deduction, down to a minimum of 10%, maybe considered if accompanied by a Letter from a Licensed Tax Preparer confirming the Business Expense Ratio based on the most recent year's tax return. - The percentage of the income used must align with the individual's percentage of business ownership. (When using personal bank statements, borrower must be a 100% owner). - If NSF (Non-Sufficient Funds) are identified, they must have been promptly covered by subsequent deposits. A LOE may be required to confirm that the NSF occurrence was not due to financial mismanagement or insufficient income.
Income – Rental Income	All properties that the applicant owns must be listed on the Schedule of REO section of the 1003. In all instances when utilizing rental income, qualifying rental income will be gross rents x 75% to account for vacancy losses. - For non-subject investment properties: Rental income is based on lower of current executed lease agreement, or internet searches (i.e., Rentometer, Zillow, etc.). - For subject investment properties: Rental income is based on lower of current executed lease agreement or Form 1007/1025 Rent Schedule. - Rental income from a departing residence: Rental income is based on lower of current executed lease agreement or internet searches (i.e., Rentometer, Zillow, etc.). A verification of receipt of the security deposit and proof of the first month's rent deposited to borrower's account is required. If no lease/deposit is available, a recently completed Form 1007/1025 Rent Schedule can be used to determine the gross market rent. - Note: Higher current rental income may be considered in certain cases, provided adequate supporting documentation is submitted.
Verification of Employment	<u>Wage Earner</u> - Verification of Employer supported by internet search, directory, business profile websites, etc. - Verbal Verification of Employment within 10 business days prior to the note date. <u>Self-Employed</u> - Verification of the existence and operational of the business from a third party, such as a CPA, CTEC, EA, regulatory agency or the application licensing bureau. - Verification of business supported by internet search, directory, business profile websites, etc. - Verbal VOE within 90 business days prior to the note date.
Assets and Reserves	The borrower must document sufficient assets available for down payment closing cost and reserves. Acceptable Liquid Asset documents include, but is not limited to the following:

General Requirements			
Assets and Reserves	- Most recent 30 days bank statements - A VOD, covering at least most recent 30 days balance - A Bank Certification Letter, documenting account holder, account information, open date of minimum of 30 days, and current balance - Bank prepared 30 days transaction statement (must be stamped/signed) - Sourcing of large deposits NOT Required.		
	<u>Business Funds</u> - Business funds utilized for down payment, closing costs, and reserves cannot exceed the percentage of the borrower’s ownership of the business. - Business funds that are in a personal account prior to application may be used for downpayment, closing costs, and reserves without restriction. - A Licensed Tax Preparer must provide a letter explaining that the withdrawal of business funds will not negatively affect the business operations.		
	<u>Foreign National Borrowers - Foreign Assets:</u> - Assets held in foreign accounts may be used as a source of funds to close when verified funds are wired directly to the closing agent. Wire transfer must include bank name, account holder name, and account number. Bank used as source of wire transfer must match the bank holding the assets verified in the loan file. - Reserves must be documented in a US bank account. - Assets must be verified in US Dollar equivalency at the current exchange rate.		
	<u>Automatic Payment Authorization (ACH):</u> - Automatic Payment Authorization (ACH) Form is required for all Foreign National borrowers. Funds must be from a US Bank. The executed (ACH) enrollment form must be included in the closed loan package. The (ACH) enrollment form must include the bank routing number, account number, and account type.		
	Reserves	Loan Amount	Required Amount (PITIA)
		≤ \$1,000,000 AND ≤75% LTV ** Not eligible for foreign nationals	None
		≤ \$ 1,000,000	3 months
		≤ \$ 2,000,000	6 months
		≤ \$ 3,000,000	9 months
	- Reserves are required for the subject property only. - Cash-Out Net Proceeds may be used to meet reserve requirements. - Gift funds may be used for reserves. Gift funds used as part of reserves and wired directly to escrow are not required to be deposited into borrower's account prior to closing. - Restricted Stock Units (RSUs) are not eligible for reserves. - Net Cash Value for Life Insurance: 100% of the vested amount may be considered for reserves. - Vested Retirement Account Funds: 100% may be considered for reserves. - 1031 Exchange: Assets for the down payment from a Like-Kind Exchanges Under IRC Section 1031 are eligible if properly documented and in compliance with Internal Revenue Code Section 1031 (FNMA B3-4.3-10) and Full Asset Documentation requirement in accordance with Fannie Mae guidelines.		
Note: If funds from Stock, Bond, Life Insurance, Retirement accounts will be used for down payment or closing costs, the funds must be liquidated and documented according to FNMA liquidation guidelines.			
- The asset documents must be dated within 90 days of the Note date.			

General Requirements											
Gift Funds	- Gift funds allowed. - Gift funds are allowed to cover all or a portion of the down payment, closing costs, and reserves. - Gift letters must contain the donor's name, address, phone number, relationship, gift amount and the donor must state that repayment is not expected. - Gift of Equity is allowed and can be used toward down payment, closing cost but NOT reserve requirements.										
Interested Party Contribution (IPC)	Maximum contribution from Interested Parties (sellers, realtors, brokers or affiliates who may benefit from the transaction): > 75% LTV/CLTV: 6% ≤ 75% LTV/CLTV: 9%										
Maximum number of Properties	- The borrower may own a maximum of 20 residential properties, including the subject property, as of the Note Date. Of those, no more than 10 properties may be financed. - If borrower(s) have multiple financed properties with iTrust Mortgage, the following additional restrictions apply: - Aggregate iTrust Mortgage loan amount to one borrower may not exceed \$5 million. (For Foreign National is 2.5 million) - The maximum number of iTrust Mortgage loans allowed to one borrower is 4. - For foreign nationals – refer to “Foreign Nationals” section of the guidelines. Note: Exceptions may be granted upon Management Review.										
Appraisal	- iTrust Mortgage reserves the right to review all valuation reports and determine if the subject property value is supported. - All Appraisals must comply with and conform to USPAP and the Appraisal Independence Requirements, and any requirement for HPMLs, if applicable. - Sellers are responsible for reviewing the appraisal report for accuracy, completeness, and its assessment of the marketability of the subject property. The Seller needs to determine that the subject property provides acceptable collateral for the loan. - The Appraisal must either be ordered through an Appraisal Management Company (AMC) that complies with Appraisal Independence Requirements (AIR), or via the Correspondent's own AIR-compliant process. <table border="1"> <thead> <tr> <th>Value</th><th>Requirement</th></tr> </thead> <tbody> <tr> <td>≤ \$1.5 mil.</td><td>One (1) Full Appraisal + CDA* if both CU and LCA scores exceed 2.5 or not available.</td></tr> <tr> <td>> \$ 1.5 mil. - \$2.0 mil.</td><td>One (1) Full Appraisal + CDA*</td></tr> <tr> <td>> \$ 2.0 mil.</td><td>Two (2) Full Appraisals</td></tr> <tr> <td>Transferred Appraisals</td><td>Not Allowed</td></tr> </tbody> </table> *Clear Capital Collateral Desktop Analysis (CDA) must be within 10% variance. If variance exceeds 10% (lower than appraised value), then a second appraisal is required. The lower value of the two appraisals will be utilized. - Properties with a condition rating of C5 or C6 are not acceptable. - If the property involves resales within 365 days or is a HPML loan, additional appraisal requirements may apply. Refer to the Flip Transactions and HPML sections of the guidelines	Value	Requirement	≤ \$1.5 mil.	One (1) Full Appraisal + CDA* if both CU and LCA scores exceed 2.5 or not available.	> \$ 1.5 mil. - \$2.0 mil.	One (1) Full Appraisal + CDA*	> \$ 2.0 mil.	Two (2) Full Appraisals	Transferred Appraisals	Not Allowed
Value	Requirement										
≤ \$1.5 mil.	One (1) Full Appraisal + CDA* if both CU and LCA scores exceed 2.5 or not available.										
> \$ 1.5 mil. - \$2.0 mil.	One (1) Full Appraisal + CDA*										
> \$ 2.0 mil.	Two (2) Full Appraisals										
Transferred Appraisals	Not Allowed										
Appraisal (Un-permitted Additions/Garage Conversions)	- Appraiser to comment that the addition or conversion was completed in a workmanlike manner. - Appraiser to comment if there are any health and safety issues. - Appraiser to comment that the addition conforms to the homes structure.										

General Requirements	
Accessory Dwelling Units (ADUs)	A 1-, 2-, or 3-unit properties that have one (1) ADU are eligible (must meet Freddie Mac Seller Guide 5601.2). An ADU is an additional finished area that: - Includes a kitchen, bathroom and separate entrance - Is independent of the primary dwelling unit - Is smaller in size than the primary dwelling unit, AND - Contributes less to the value of the property than the primary dwelling unit. The appraisal report must include: - A detailed description of the ADU - Any effect the ADU has on the market value or marketability of the subject property Unpermitted ADUs: - The illegal unit (addition) must conform to the subject neighborhood and to the market. - Property must be appraised based on its current use and must report that the improvements represent illegal use. - Borrowers cannot use rental income to qualify from the illegal 2nd unit. - Appraiser to comment that the improvements are typical for the market area supported by at least one comparable property that has the same illegal use. - Multiple accessory units are not permitted. - Hazard insurance policy must include the total square footage of the property (including the illegal unit) & note that any future claims will not jeopardize the property.
Multiple Accessory Dwelling Units (ADUs)	iTrust Mortgage will permit properties with multiple ADUs, provided they meet the following requirements: General Requirements: - The total units + ADUs on the property may NOT exceed 4 units. - Acceptable Example: A 3-unit triplex + 1 ADU, a 2-unit duplex + 2 ADUs, and/or a 1-unit SFR + 3 ADUs - 5% LTV reduction applies - ADU(s) must be: - Subordinate in size to the primary dwelling. - Must have separate features from the primary dwelling: means of ingress/egress, kitchen, sleeping area, bathing area, and bathroom facilities. - ADU cannot be accessible only through the primary dwelling or the area is open to the primary dwelling with no expectation of privacy. Permitted ADUs: - The appraisal report demonstrates that the improvements are typical for the market through an analysis of at least two comparables with similar additional ADU(s). - Property must conform to all zoning laws/regulations and/or legally permitted. - The appraisal report must include a description of the ADU(s) and an analysis of how they impact the value or marketability of the subject property. - Rental income may only be considered when the permitted ADU(s) meet the following requirements: - Refinance – the market rent for the ADU should be documented on FNMA Form 1007 and the file must include a copy of the current lease (use the lower of market rent or actual).

General Requirements	
Multiple Accessory Dwelling Units (ADUs)	- Purchase – the market rent for the AUD should be documented on FNMA Form 1007 and the file must include a copy of lease with verification of receipt of the security deposit deposited to borrower's account is required (use the lower of market rent or actual). If no lease/deposit is available, Form 1007 can be used to determine the gross market rent. - Note: Qualifying rental income will be gross rent x 75% to account for vacancy losses. - Owner-Occupied/2nd Home: Income from ADUs may not be used as qualifying income. Unpermitted ADUs: - The ADU is not required to be permitted provided the appraiser indicates the improvements represent a legal use of the property and completed in a workmanlike manner. - The appraiser must determine if there is market acceptance that would contribute to the value of the subject property by providing analysis of at least two comparables with similar additional ADU(s). If market does not recognize the non-permitted area, appraiser must include a cost to cure to restore subject to its legal permitted use and deduct from the conclusion of value for subject property. - Legal non-conforming use is acceptable provided its current use does not adversely affect value and marketability. - Rental income may NOT be considered on unpermitted ADU(s).
Declining Market	A 5% LTV reduction is required for all loans when the appraiser indicates the property is located in the declining market.
Solar Panel	Properties with solar panels are eligible for financing. If the property owner is the owner of the solar panels, standard eligibility requirements apply (for example, appraisal, insurance, and title). If the solar panels are leased from or owned by a third party under a power purchase agreement or other similar arrangement, the following requirements apply: - The panels may not be included in the appraised value of the property. - The property must maintain access to an alternate source of electric power that meets community standards. - The monthly lease payment must be included in the DTI ratio unless the lease is structured to: - Provide delivery of a specific amount of energy at a fixed payment during a given period, and - Have a production guarantee that compensates the borrower on a prorated basis in the event the solar panels fail to meet the energy output required for in the lease for that period. - Payments under power purchase agreement agreements where the payment is calculated solely based on the energy produced may be excluded from the DTI ratio. - The lease or power purchase agreement must indicate that: - Any damage that occurs as a result of installation, malfunction, manufacturing defect, or the removal of the solar panels is the responsibility of the owner of the equipment and the owner must be obligated to repair the damage and return the improvements to their original or prior condition. - The owner of the solar panels agrees not to be named loss payee on the property owner's property insurance policy covering the residential structure on which the panels are attached. - In the event of foreclosure, the lender or assignee has the discretion to:

General Requirements	
Solar Panel	- Terminate the lease/agreement and require the third-party owner to remove the equipment; - Become, without payment of any transfer or similar fee, the beneficiary of the borrower's lease/agreement with the third party; OR - Enter into a new lease/agreement with the third party, under terms no less favorable than the prior owner. - The title cannot reflect any liens related to the ownership or maintenance of the solar panels that will result in a lien superior to Lender's first lien position.
Condominiums	Warrantable Condos Condominiums projects must comply with Fannie Mae Selling Guide requirements under Section, B4-2 Project Standards. Projects with pending litigation may be considered on an exception basis, subject to review. - Seller may review and approve FNMA warrantable projects. A condo questionnaire, comparable in scope and content to the iTrust Mortgage condominium questionnaire, must be provided. - Minimum 400 sq/ft - Projects must not be in an "Unavailable" status in Fannie Condominium Project Manager (CPM). - Seller executed Condominium Project Certification required. - California condo projects and associations subject to California SB326 requirements will need the Balcony and Deck (EEE) Inspection report subject to all state requirements. Non-Warrantable Condos - Projects may be reviewed and approved by the seller. A certification, similar to the iTrust Mortgage condominium questionnaire, must be provided. - Seller executed Condominium Project Certification required. - Maximum LTV: A 5% LTV reduction applies to Non-warrantable condo transactions. - Minimum Loan Amount: \$175,000 - A Full Lender Review is required. A Limited Review is not allowed. - Must be an Arms-length transaction. - Maximum iTrust Mortgage exposure of 20% total units in a project. - Minimum 400 sq/ft - Projects must not be in an "Unavailable" status in Fannie Condominium Project Manager (CPM). - California condo projects and associations subject to California SB326 requirements will need the Balcony and Deck (EEE) Inspection report subject to all state requirements. - Not allowed on Foreign Nationals

General Requirements		
Flip Transactions	When the subject property is being resold within three hundred sixty-five (365) days of its acquisition by the seller, and the sales price has increased more than ten (10%), the transaction is considered a “flip”. To determine the three hundred sixty-five (365) day period, the acquisition date (the day the seller became the legal owner of the property - Recording Date) and the purchase date (the day both parties executed the purchase agreement) should be used. <u>Flip transactions are subject to the following requirements:</u> - All transactions must be arm’s length, with no identity of interest between the buyer and the property seller or other parties participating in the sales transaction. - No pattern of previous flipping activity may exist in the last twelve (12) months. Exceptions to ownership transfers may include newly constructed properties, sales by government agencies, properties inherited or acquired through divorce, and sales by the holder of a defaulted loan. - The property was marketed openly and fairly, through a multiple listing service, auction, for sale by owner offering (documented) or developer marketing. - No assignments of the contract to another buyer. - If the property is being purchase for more than 5% above the appraised value, a signed letter of acknowledgement from the Borrower must be obtained. - A Collateral Desktop Analysis (CDA) is required (this is not required for loans with 2 appraisals) - Flip transactions must comply with the HPML appraisal rules in	
Higher Priced Mortgage Loan (HPML)	When a consumer buys a primary residence and their loan is covered HPML AND the property has been previously sold in the prior 180 days, a second appraisal report may be required. A second appraisal is required in the following circumstances: - Greater than 10% increase in sales price if seller acquired the property in the past 90 days - Greater than 20% increase in sales price if seller acquired the property in the past 91-180 days. - The Borrower may not pay for the 2nd appraisal.	
Non-Arm’s Length Transaction	Non-Arm’s Length Transaction occurs when there is a relationship or business affiliation between the borrower and an interested party to the transaction. The list includes and is not limited to: Builder, Developer, or the Property seller. - Non-arm’s length transactions are allowed on all occupancy for existing property types. - Newly constructed properties are only allowed on primary residences. - Non-arm’s length transactions are not permitted on Delayed Financing (FNMA 2-1.2). - When a borrower is employed by family, income must be documented by 2 years tax returns.	
At-Interest Transaction	At-Interest Transaction involves individuals who, while not necessarily related or closely tied by family or ownership, maintain a vested financial or professional interest in a mortgage transaction. These individuals often fulfill multiple roles within the same transaction, creating a potential conflict of interest. Such transactions are considered higher risk, as the party’s dual involvement or financial stake may include the outcome of the loan process, often driven the dual compensation or biased decision making. Due to increased risk associated with At-interest Transactions, enhanced due diligence is required.	
	Examples of Eligible At-interest Transactions	Examples of At-interest Transactions requiring Full Income Documents (i.e., 30 days paystubs, 2-Yr W-2s, Tax Returns)
	Buyer(s)/Borrower(s) representing themselves as agent in real estate transaction	Broker acting as both the listing and selling agent as well as MLO (representing both buyer and seller)

General Requirements		
At-Interest Transaction	Examples of Eligible At-interest Transactions	Examples of At-interest Transactions requiring Full Income Documents (i.e., 30 days paystubs, 2-Yr W-2s, Tax Returns)
	Seller(s) representing themselves as agent in real estate transaction.	Seller who also functions as the MLO
	Realtor/Broker selling their own property.	Borrower employed by the company originating the loan
	Broker acting as both selling agent as well as MLO (representing buyer side only)	Borrower is employed by a family member
		Borrower's family member serving dual roles as both the MLO and real estate agent
		Seller is the borrower's employer
	iTrust Mortgage reserves the right to decline loan transactions that involve At-Interest parties if the relationship is deemed to pose unacceptable risk or violates our internal compliance policies.	
For Sale By Owner (FSBO)	For Sale by Owner transactions are allowed with the following restrictions: - Must be supported by a letter of explanation from the borrower documenting how the property was located and if there is any affiliation or relationship with the seller. - Must document the transaction is not a foreclosure bailout. - No property flipping	
Escrow Hold Back	Ineligible	
Impounds/Escrow	- Impounds / Escrows may be waived per state law. - HPML loans must be impounded/escrowed. - Flood insurance must be impounded/escrowed. It cannot be waived even if Property Tax and Home Insurance portion have been waived.	
Power of Attorney	A Power of Attorney (POA) is allowed per FNMA guidelines (FNMA B8-5-06), except as otherwise required by applicable law, or included in the ineligible agents list below: - Ineligible Agents: - Lender, Affiliate of Lender, or Employee of Lender. - Loan Originator, Employer of Originator, Employee of the Originator, Employee of the Originator's Employer. - Title Insurance Company providing the title insurance, Affiliate of the Title Insurance Company, or an Employee of the Title Insurance (including, but not limited to, the title agency closing the loan). - Property Seller, or Any Person related to the property seller (including a relative or affiliate) - Any Real Estate Agent with a financial interest in the transaction (or any person affiliated with such real estate agent) * Power of Attorney is NOT ALLOWED for Cash-Out Transactions.	
Approved States	Refer to eligible states on our rate sheets.	